

INDIAN ECONOMY

**LEVEL
II**



TERMINOLOGY

MODULE - 10

109. GINI COEFFICIENT

110. BAD BANK

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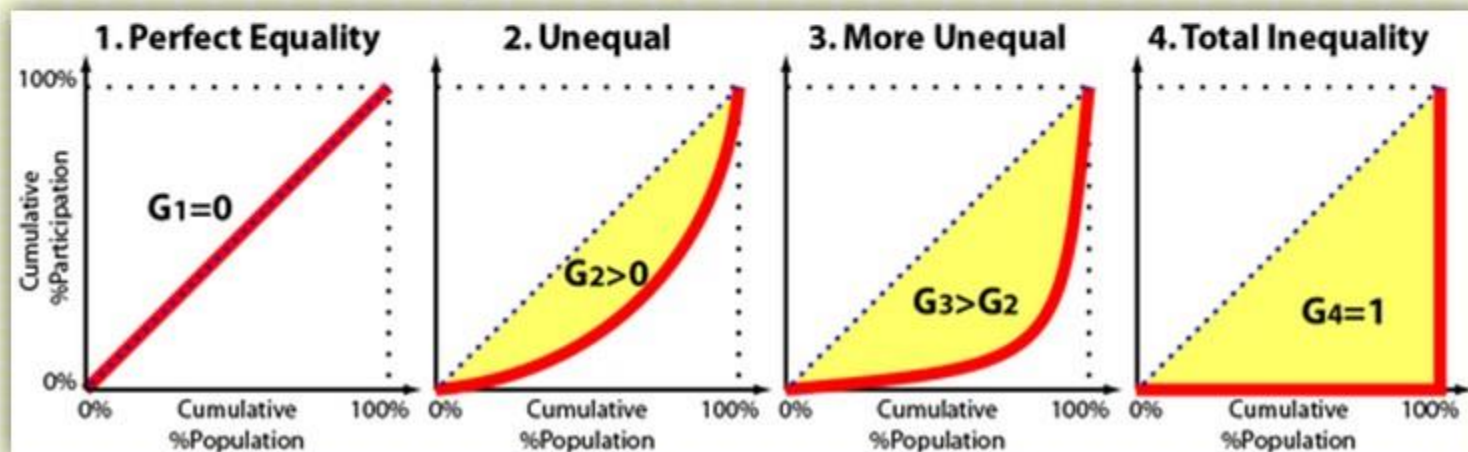
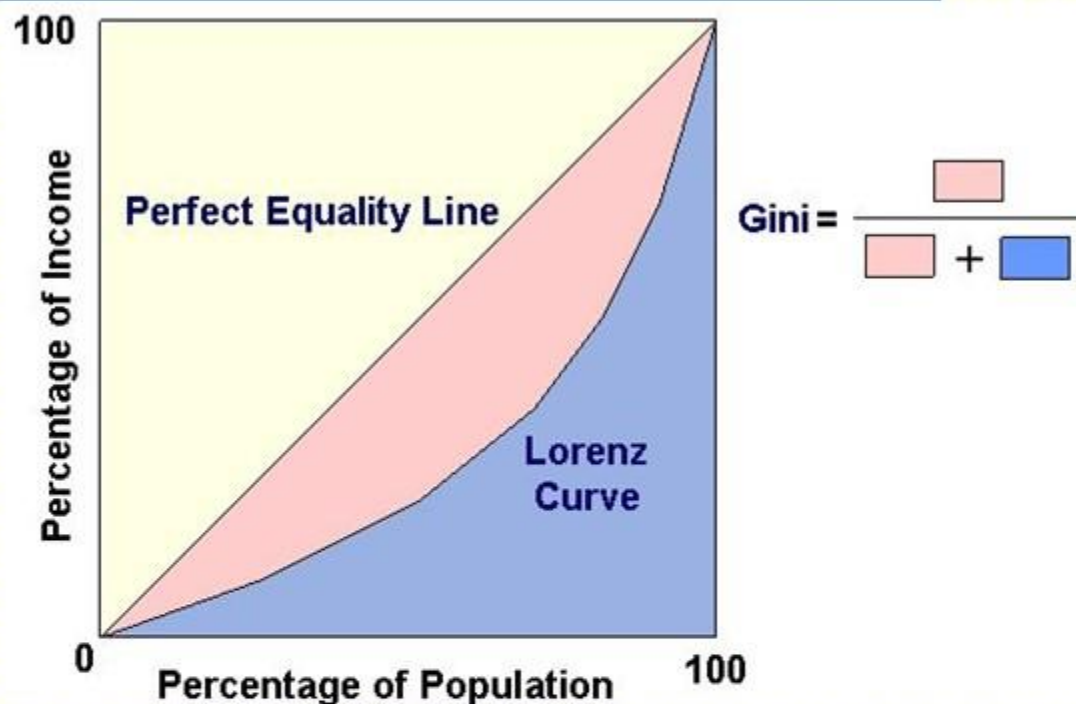
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GINI COEFFICIENT

- The coefficient ranges from 0 (or 0%) to 1 (or 100%), with 0 representing perfect equality and 1 representing perfect inequality.
- Gini coefficients of income inequality is alarming in several countries. Still alarming is the inequality of wealth.
- Just eight persons own as much wealth as 50% of the world's population, i.e., as many as 3.9 billion people.

CALCULATING GINI COEFFICIENT



A Gini figure below 0.4 is generally considered to be within tolerable limits.

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BAD BANK

- It will buy the bad loans from the banking system. It will then try to recover bad debts through available legal means.
- The banks will come out of the problem of bad loans. They can concentrate on their regular lending activities.
- It was the practice in USA in 20th century.

 **ICICI Bank**

ANNOUNCEMENT AS PER UNION BUDGET 2021-22

ASSET RECONSTRUCTION COMPANY LIMITED AND ASSET MANAGEMENT COMPANY

- An Asset Reconstruction Company Limited and Asset Management Company would be setup to consolidate and takeover the existing stressed debt.
- It will take care of managing and disposing the assets to Alternate Investment Funds and other potential investors for eventual value realization.

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CREATIVE DESTRUCTION

- When an entrepreneur introduces new technologies, which ultimately replaces old technologies / processes, giving stimulus to the economic activity, it is known as Creative Destruction.
- Creative Destruction is the key to economic growth. But, sometimes it may lead to collapse and crisis.



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CROWDING OUT EFFECT

- This is the concept, which indicates that abnormal increase in the Government borrowings will ultimately have an effect in reducing the private sector expenditure.
- The borrowings available in any economy are limited.
- Govt. will certainly have upper hand versus private sector, as far as borrowings are concerned.
- When Govt's borrowing increase abnormally, private sector may find it difficult to access money. This is known as Crowding Out Effect.
- Interest rates may also increase, when the money available for private sector borrowings are reduced.



सत्यमेव जयते

Government Of India

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DEMAT ACCOUNT

- It is the system of holding shares in electronic form or dematerialised form.
- Through this, shares can be traded online and transactions can be concluded much faster.
- When we open demat account with SBI, it is acting as an intermediary.
- The shares are held in demat form by either NSDL / CDSL.



Central Depository Services (India) Limited

Convenient * Dependable * Secure

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RENT SEEKING

- This is the ulterior motto of benefitting oneself i.e., an individual or company, without creating more wealth.
- They try to get more benefit at the cost of others by manipulating the Government Public Policy.
- To explain clearly, suppose the wealth created by a company is Rs. 1,00,000 and they get normal profit of Rs. 10,000.
- Without enhancing the wealth, by manipulating the Government policies like subsidies and incentives, if the company is able to increase its profit to Rs. 20,000 with the same Rs. 1,00,000 output, it is rent seeking behavior.
- We can say that it is the manipulation of the public policy for the personal gain with the ulterior motto.



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PURCHASING POWER PARITY

- This is comparing the real value of the currencies.
- All of us are well aware, the exchange rate for dollar-rupee is around Rs. 73 a dollar. This is the nominal exchange rate.
- But, if you look at the purchasing potential / real value of a currency, it may give different picture.
- Let us take the cost of a cup of coffee in USA. It may be \$ 1. In India, similar tasty cup of coffee may cost only Rs. 20.
- Hence, on Purchasing Power Parity terms, \$ 1 equals Rs. 20. This is the exchange rate on PPP basis.
- This way IMF and World Bank study living standards of the people in different economies.
- It was developed by European Conservative Economist, Gustav Cassel, belonging to Sweden.

TAKE A CUP OF COFFEE AS AN EXAMPLE



Cost in USA is \$ 1



Cost in India is Rs. 20

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MORAL HAZARD

- This is quite often in the news, in recent times, in the context of **waiver of agricultural loans**.
- When the loan waiver is frequently resorted to, it **spoils the credit culture**.
- The borrowers of the loan, though they are capable of paying back, **may not pay back** due to the simple reason of **expecting the Government to waive the loan** in the near future.
- Similar example is when a person is insured for high amount, say **Rs. 1 Cr**, he may be **reckless** in leading his life, with the impression that his **family will be financially secure**.



These two are the examples of Moral Hazard.



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DOMINO EFFECT

- When one economic activity causes a series of similar events, one after the other, it is known as Domino Effect.
- The series of events may escalate from one region to other, or from one sector to other.
- **Examples:**
 - In late 1990s, subsequent to Southeast Asian currency crisis, major stock markets crashed around the World.
 - In 2008, due to the Subprime crisis faced by US economy, stock markets fell abnormally around the World.



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PREDATORY PRICING

- The pricing policy of a firm with the express intent of harming the rivals or exploiting the consumer.
- Through the Predatory Pricing, the rivals are thrown out / are put into difficulties and subsequently, once the competition is out, they will try to raise the prices gradually.
- In the recent years, Reliance Jio faced the accusations of Predatory Pricing.



Telecom Regulatory
Authority of India



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DOMESTIC INSTITUTIONAL INVESTORS

- Domestic Institutional Investors are financial institutions of Indian origin.
- They invest in different instruments such as shares, bonds etc.
- They may be Govt-owned or privately-owned.
- **Examples are:** Mutual Funds, Pension Funds, Insurance Companies.



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UNEMPLOYMENT TRAP

- Unemployment trap is a situation, when unemployment benefits discourage the unemployed to go to work.
- Sometimes social security benefits and welfare systems end up as counterproductive.
- The intention of providing welfare during difficult times may end up in providing them with an incentive not to return to work.



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